

Quiz 3 — how the class did

12

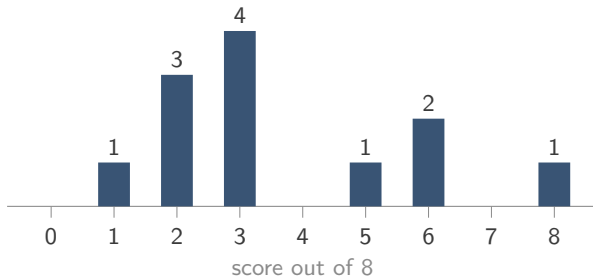
answer strips

3.7

mean score out of 8

3

median · range 1–8



What shifts demand right (select all that apply)

Own-brand pasta (the supermarket's cheapest label) is an inferior good for most households. Which of these shift the demand for own-brand pasta to the RIGHT?



exact set correct: 8% · the shares add to more than 100 %: several circles could be marked

Market demand: add the buyers up

Carla and Nil are the only two buyers of cider at a village shop. At €2 a bottle, Carla buys 6 bottles a month and Nil 4; at €4, Carla buys 4 and Nil 2. Which point lies on the market demand curve?

10 bottles at €2

 33% (4)

4 bottles at €6

 8% (1)

3 bottles at €4

 25% (3)

6 bottles at €2

 25% (3)

1 left it blank

Idle factories back to work

A three-month strike in a region ends: factories that stood idle, and their workers, are producing again. The region's people, machines and know-how are the same as before. On the picture of its production possibilities frontier, what happened?

it moved from a point inside the frontier toward the frontier



the frontier shifted out: the region can now make more



it moved along the frontier: more of one good, less of the other



nothing moved: the region has the same workers and machines as before



1 left it blank

Three steps: a cheaper harvest

A new machine halves the cost of harvesting olives, and every grower in a region uses it. Follow the chapter's three steps for the region's market for olive oil. What happens?

supply shifts right: the price falls and more oil is sold		42% (5)
supply shifts right: the price rises, because more oil is sold		0% (0)
demand shifts right: cheaper oil, so buyers want more		8% (1)
supply shifts right, and the lower price then shifts demand right too		50% (6)

What shifts supply

Think of the supply curve for bread in a small town. Which of these would shift it to the LEFT?

the price of flour doubles



the price of bread falls



a diet fashion turns people away from bread

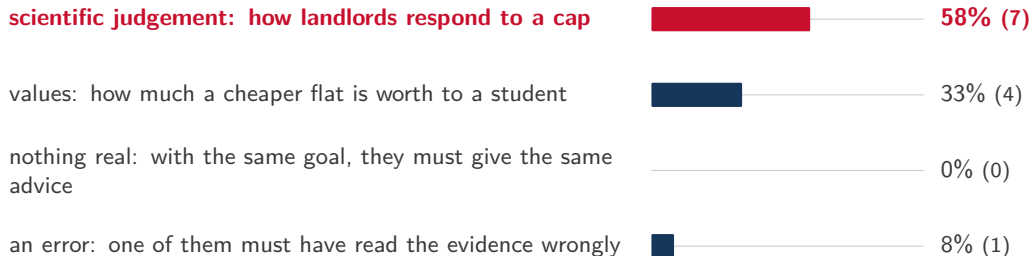


a new oven cuts every bakery's costs



Same goal, opposite advice

Two economists want the same thing: cheaper flats for students. One expects a rent cap to cut rents with hardly any flats lost, and advises the cap. The other expects a cap to drive a tenth of the flats off the market, and advises against it. In the book's terms, their disagreement is about. . .



Surplus or shortage: read the gap

The figure shows a town's Saturday market for peaches. At €6 a kilo, the market has...



A cheaper substitute: which point

The figure shows the market demand for train tickets between two cities; the market is at A. Then the airlines cut their fares on the same route, while the train fare stays at P. Which point shows the train tickets now demanded? (The dashed lines are two possible new positions of the curve.)

- | | | |
|---|---|----------------|
| point A: nothing changes, the train fare did not move |  | 17% (2) |
| point B: fewer tickets, along the same curve |  | 0% (0) |
| point C: the curve shifted left; fewer tickets at the fare P |  | 75% (9) |
| point D: the curve shifted right; more tickets at the fare P |  | 8% (1) |

Hardest three

What shifts demand right

8% correct

incomes fall (an inferior good) and branded pasta gets dearer (a substitute)
most chosen instead: the price of own-brand pasta falls (50%)

Market demand: add the buyers up

33% correct

10 bottles at €2 ($6 + 4$: the quantities added at the same price)
most chosen instead: 3 bottles at €4 (25%)

Idle factories back to work

33% correct

a move from inside the frontier toward it; the frontier itself stays
most chosen instead: nothing moved: the region has the same workers and machines as before (33%)